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TATA CONSULTANCY SERVICES

This report is for educational/informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

SELL

KEY METRICS AT A GLANCE

DCF Intrinsic Value	Rs.2,094

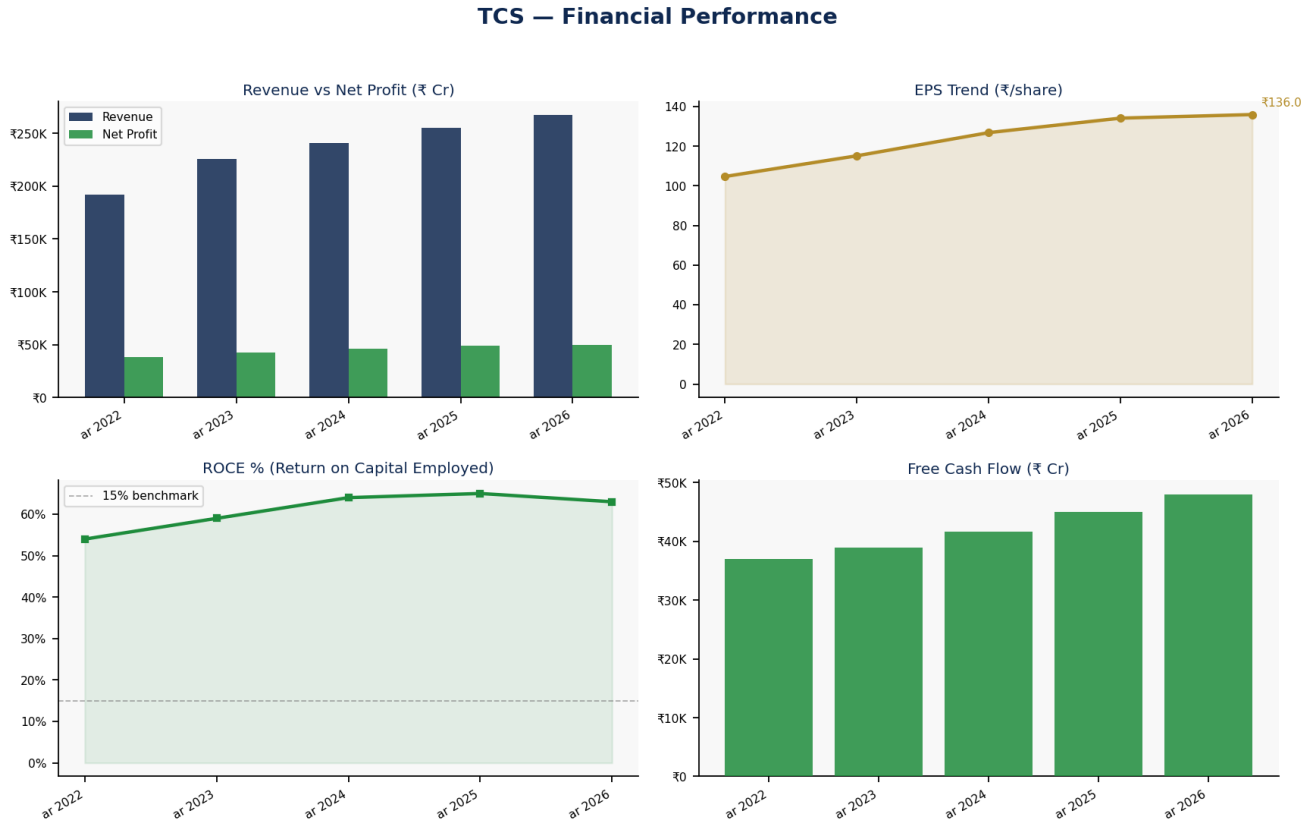
FINANCIAL SUMMARY — 5-YEAR TREND

Metric (Rs. Crore)	ar 2022	ar 2023	ar 2024	ar 2025	ar 2026
Revenue (Sales)	191,754	225,458	240,893	255,324	267,021
Net Profit	38,449	42,303	46,099	48,797	49,454
EPS (Rs.)	105	115	127	134	136
Op. Profit Margin %	28.0%	26.0%	27.0%	26.0%	27.0%
ROCE %	54.0%	59.0%	64.0%	65.0%	63.0%
Cash from Operations	39,949	41,965	44,338	48,908	52,094

GROWTH RATES (CAGR)

Revenue CAGR (3Y)	+5.8%
EPS CAGR (3Y)	+5.7%
Interest Coverage	58.9x

FINANCIAL CHARTS · 10-Year Historical Performance



Charts show last 5 fiscal years. FCF bars: green = positive, red = negative cash generation. ROCE benchmark line at 15%.

DCF VALUATION · Monte Carlo Analysis

Model	10-Year FCF Projection + Gordon Growth Terminal Value
Enterprise Value	Rs.771,091 Cr (PV FCFs + PV Terminal)
WACC	11.45% (market-cap weighted; CAPM equity + debt after-tax)
Terminal Growth Rate	5.5% (India long-run nominal GDP)
FCF CAGR (hist.)	+5.9% (smoothed 3Y avg — used as base-case projection)
Simulations	10,000 Monte Carlo iterations (WACC ±1.5% | CAGR ±4%)
Shares Outstanding	363.6 Crore

VALUATION SUMMARY

Base-Case IV (Rs.)

MULTI-FACTOR COMPOSITE SCORE · Quality · Growth · Earnings Quality · Piotroski

FCF CAGR 3Y	+7.3%

54.3 / 100 (B+)

HOLD

Quality Score	86.7
ROCE, Operating Margin, D/E, Interest Coverage	
Growth Score	27.9
Revenue CAGR, EPS CAGR, FCF CAGR	
Earnings Quality	44.5
CFO/Net Profit ratio, Accruals ratio	
Piotroski F-Score	6 / 9
9-point financial health test (Profitability · Leverage · Efficiency)	

RAW METRICS

ROCE %	100th percentile

INVESTMENT THESIS · AI-Generated Analysis

Tata Consultancy Services (TCS) is a constituent of the Nifty 50 index.

The company scores 54.3/100 on our multi-factor composite model, ranking it in the HOLD category with a B+ grade.

Key strengths: ROCE at 100th percentile within Nifty 50, EPS growing at +5.7% per year (3Y CAGR), Revenue expanding at +5.8% annually. D/E ratio stands at 0.11x with interest coverage of 58.9x.

Our DCF valuation, using a 11.4% WACC and +5.9% historical FCF CAGR, yields a base-case intrinsic value of Rs.2,094 per share (P10–P90 range: Rs.1,293–Rs.3,677). The DCF model implies a margin of safety of -14.4% versus the current market price of Rs.2,448. The verdict is: SELL.

STANDARD RISK FACTORS

- Market Risk: Broad market downturns may affect price irrespective of fundamentals.
- Earnings Risk: Future earnings may deviate from historical trends used in this model.
- Valuation Risk: DCF models are sensitive to WACC and terminal growth rate assumptions.
- Sector Risk: Regulatory changes, commodity cycles, or competitive pressures specific to the industry.
- Liquidity Risk: Lower-volume stocks may be harder to exit at favourable prices.